

# Executive Summary

## CHALLENGES

Across the Middle East and North Africa (MENA), land is scarce and immensely valuable because of strong geographic and climatic constraints (84 percent of land in the region is barren and only 3.5 percent is cultivated). The projected increase in the demand for land stemming from demographic trends, coupled with the shrinking supply of land arising from climatic and governance factors, are indicative of a looming crisis at a time the region is also facing a dramatic social and political transformation. The reserves for land cultivation are almost exhausted, and the room for expanding cropland under rainfed conditions is the lowest in the world, limited to only 9–17 percent of the existing area under cultivation, as opposed to 150 percent globally. Urbanization trends are also exerting pressure on land. With the urban population expected to increase by 60 percent (190 million) by 2050, under current conditions the total urban built-up area in the MENA region will likely have to expand by at least 50 percent (1.3 million additional hectares). And yet land remains inefficiently, inequitably, and unsustainably used.

Meanwhile, both firms and individuals face high barriers to accessing land, with adverse effects throughout the MENA region. Twenty-three percent of firms in the manufacturing and service sectors identify land accessibility as a major constraint on their business operations. Political connections are used to access land, which may result in the misallocation of land to politically connected firms instead of to more productive ones. In the MENA region, there are twice as many politically connected firms (5.9 percent) as in the Europe and Central Asia (ECA) region (2.4 percent), with a few countries experiencing very high levels of political connections among firms (up to 28 percent).

Barriers to accessing land reduce economic efficiency within and across sectors and perpetuate inequality, especially among women and vulnerable groups. Women in the MENA region have the lowest rate of ownership of agricultural properties in the world and are two to three times more likely to fear losing their property in the event of spousal death or divorce. Formal and informal institutions and gender-imbalanced social norms and practices (especially in rural areas and in matters of inheritance and asset management) do not sufficiently support women's rights. Indeed, women commonly face social pressures to “voluntarily” renounce their inheritance of properties—according to Jordanian *shari'a* court data, over the last decade up to a third of heirs fully relinquished their inheritance rights every year. Refugees also face difficult access to land, with conflict in the MENA region causing displacement of millions of people who lack housing, land, and property rights in both origin and destination countries. Moreover, the land scarcity crisis is exacerbated by conflicts, which are additional factors contributing to land degradation. In fact, a comparison of cropland areas in the vicinity of the Türkiye and Syrian Arab Republic border shows that the conflict caused the Syrian side to lose 7 percent of its cropland by 2017.

Scarcity of land and difficulty of access to land are worsened by poor land governance. In the MENA region, land governance systems are complex as they reflect the cumulation of regime changes and associated reforms throughout history. Legal frameworks are frequently outdated and not aligned with reality or the needs of the modern economy. In all but the rich countries

in the region and Jordan, poor property registration remains a key problem, reflecting complex land tenure situations, onerous registration procedures, and a low perception of the benefits of registration. Furthermore, land governance policies are often poorly implemented because of institutional fragmentation at the central level and the weak reliability of land administration infrastructure, which complicates information sharing and coordination across central state institutions. It is not uncommon for countries in the region to have up to 10 institutions competing for responsibilities for state land management. Finally, in many MENA countries high levels of public land ownership, strong state control of the land sector, and centralized, opaque decision-making processes on the allocation of land outside market allocation principles have contributed to inefficient land use and facilitated elite capture and cronyism. According to the Bertelsmann Transformation Index country reports for 2020, in 16 of the 17 MENA countries covered, corruption, political interference, or cronyism affected property rights.

The lack of effective administration and allocation of property rights is compounded by distortive policies, especially those for agriculture. For example, water subsidies to agriculture incentivize unsustainable use of land and are very common practice in a region that spends 2 percent of its GDP on water subsidies—the highest level in the world. As for regulatory constraints, inadequate zoning regulations contribute to low densities, inefficient land consumption, and environmental harm. Poorly designed and improperly functioning property taxation systems do not encourage efficient land use. For example, several countries exempt vacant residential units from property taxation, which gives owners an incentive to maintain empty properties. Some cities in the region have large amounts of vacant land (in some, more than 75 percent of the footprint), leading a few countries to attempt to use fiscal instruments, such as a vacant land tax, to encourage the use of land for construction in urban centers.

The inefficient allocation of land and the heavy control by the state reduce the effectiveness of local economic development policies. For example, it is not uncommon for industrial zones to be established in locations with insufficient infrastructure and disconnected from labor markets. Weak land administration (registration and valuation) prevents the use of land as collateral, restricts the funds available for investment, and undermines the growth of credit and mortgage markets. For example, the percentage of households in the MENA region with an outstanding mortgage on their property (housing loan penetration) is only 9 percent, which is below the world average. The weakness of land administration, in particular the lack of recognition of tenure rights and costly and cumbersome formalization processes, combined with a limited formal land supply and poor urban planning, have contributed to the widespread informal housing and slums. Indeed, 24 percent of the urban population is currently living in slums, thereby perpetuating tenure insecurity, complicating dispute resolution, increasing the costs of service provision, and harming the surrounding environment.

If MENA countries are to avert the looming crisis stemming from land that is scarce, unequally accessed, and used unproductively, they need to urgently turn their attention to the land sector. This requires both focusing on sector-specific issues and realizing that forward-looking land policies are required to respond to the megatrends of high population growth and climate change and the aspiration for economic, political, and social transformation.

## THE ROAD AHEAD

### Modernizing Land Administration Systems

MENA countries should begin by prioritizing the modernization of land administration systems. Clear priorities for intervention are property registration, digitization of records, and improvements in transparency and the accessibility of land information.